

Procure Space ETF

SPCX NASDAQ

Hold	\$113.25 ▼ 2.72%	12M Price Target \$130.00	52-Week Range \$107.01 – \$225.64	Market Cap \$1.49T
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SPCX: Space ETF Sags as SpaceX Sucks Oxygen from Room

WHAT HAPPENED

- SPCX dropped 2.7% on notably light volume (~11M vs. 60M+ recent days) — the light volume tells me this isn't panic selling, it's just nobody wanting to catch a falling knife. The real driver is that Barron's piece flagging Washington "clearing the runway" for SpaceX. SpaceX is private, so it's NOT in this ETF — meaning every regulatory favor SpaceX gets is a headwind for SPCX's public holdings (Rocket Lab, Iridium, Planet, etc.) who compete with them.
- The stock is sitting at just 5% of its 52-week range (\$107-\$225) — that's brutal. Something structural broke here over the past year, and today's action is more grinding lower than a real capitulation.

WHY IT MATTERS

Here's the thing to internalize: SPCX has a SpaceX problem. The Barron's headline about Washington "clearing the runway for SpaceX" plus Congress members buying SpaceX private shares tells you the political-industrial complex is picking a winner — and it's not in this ETF. That means launch competitors like Rocket Lab and satellite operators inside SPCX face a subsidized, politically-connected 800-pound gorilla eating their addressable market. The ARK buying signal is interesting though — Cathie's buying "falling space names," which is exactly what SPCX holds, suggesting some smart money sees the washout as overdone. Bottom line: the ETF is cheap for a reason, but if the space budget expands enough, a rising tide can still lift these boats even with SpaceX dominating.

POLICY & POLITICAL WATCH

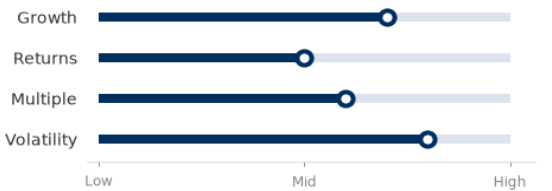
The FY2027 defense authorization is the big one — the Space Force budget line and Golden Dome missile defense architecture (basically a US version of Israel's Iron Dome, in space) are both getting fatter allocations, and that spending has to flow to publicly-traded contractors, not just SpaceX. Watch the FAA commercial launch licensing reform too — if regs get streamlined (which the current admin has signaled), it lowers costs for every launch company in the ETF. The risk: if Congress keeps funneling classified mission contracts to SpaceX (today's IBD headline about a "classified mission prep" is telling), SPCX's holdings get boxed out of the highest-margin work.

IS IT EXPENSIVE?

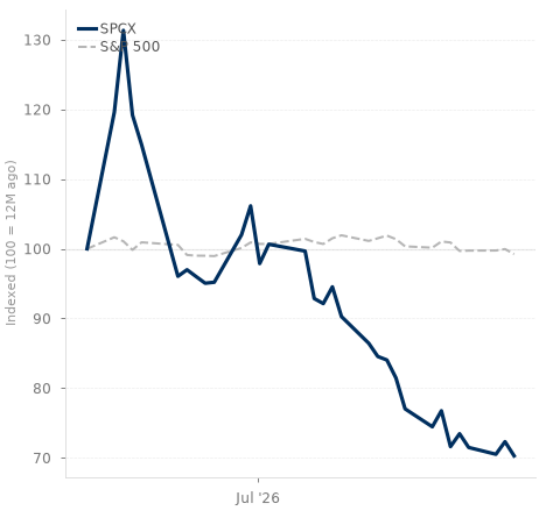
Key Data

Price (USD)	\$113.25
12M Price Target	\$130.00
Upside / (Downside)	+14.8%
Market Cap	\$1.49T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$122.00	\$115.00	\$105.00
6 Months	\$145.00	\$125.00	\$95.00
1 Year	\$170.00	\$130.00	\$85.00
2 Years	\$210.00	\$155.00	\$75.00
5 Years	\$300.00	\$200.00	\$90.00
10 Years	\$500.00	\$300.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6%) — likely oil price move plus continued deregulation tailwinds. Healthcare and Staples showing defensive rotation over 5 days.

COOLING OFF: Comm Services and Real Estate — rate-sensitive and mega-cap heavy, feeling the AI capex angst (see Meta earnings worries).

ROTATION WATCH: Money is quietly rotating defensive (staples, healthcare) which is NOT great for a high-beta thematic ETF like SPCX — space needs risk-on to work. Watch if energy strength broadens into industrials/defense; that would be the tell that SPCX gets a bid.

RELATED PLAY: If you want space exposure without the SpaceX-competitor problem, look at defense primes (LMT, NOC) or the broader defense ETF ITA — they get the space budget uplift AND they PARTNER with SpaceX rather than compete.

WHO'S WINNING IN THIS SPACE?

- ITA (iShares Defense ETF): Winning because defense spending is bipartisan and rising — captures space tailwinds without the launch-competition risk.
- NVDA (Nvidia): The "fresh support" headline suggests dip-buyers stepping in; AI capex debate is creating volatility but the demand story holds.

SPCX CONTEXT: SPCX is deeply lagging — it's at 5% of its 52-week range while defense peers hold up fine. That tells us this is a SPACE-SPECIFIC problem (SpaceX dominance), not a broad market issue. Until that narrative changes, SPCX will keep underperforming defense proper.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — cautiously interested, not pounding the table. The washout is real but the structural SpaceX problem is also real.

POSITION SIZE: 2-4% as a thematic sleeve — don't make this a core holding until you see contracts flow to non-SpaceX names.

ENTRY POINTS: I'd wait for a retest of \$107-110 (the 52-week low) or a confirmed bounce with volume above \$120. Don't chase in the middle.

TIME HORIZON: 18-36 months — you need a full budget cycle plus policy shifts to play out, this isn't a quick trade.

WHEN TO BAIL: If it breaks \$107 on volume, or if a major SPCX holding (Rocket Lab, Iridium) issues a bad guide — the thesis is broken.

HEDGING: Simplest hedge is owning ITA (defense ETF) alongside — if space money keeps flowing to SpaceX/primes, ITA wins while SPCX loses, so the pair softens the blow.